Express View on the Indian rupee: Let it fall

In recent days, the rupee has come under increased pressure, but the Indian currency is no exception. US President Donald Trump's **executive orders** **imposing** additional tariffs on Canada, Mexico and China **have** **roiled** markets. On Monday, investor **sentiment soured** in most markets across the world and major currencies were **strained**. The Sensex ended the day down 0.4 per cent while the rupee fell to an all-time low of 87.29 against the dollar during the day, closing at 87.19. On Tuesday, **some** of the **lost ground** **was** **regained**. The Sensex rose 1.8 per cent, while the rupee ended the day around 87.07. Investors are, however, **bracing** themselves **for** a period of uncertainty.

It is difficult to see how this trade war will **play out**. Trump has now decided to delay the **imposition** of **tariffs** on both Mexico and Canada for one month after speaking with the leaders of the two countries and **extracting concessions**. However, on Tuesday, China announced tariffs on select imports from the US beginning February 10. Trump has now indicated that the EU could be the next target. During this period of **unpredictability**, **preference** for a **safe haven**, the dollar, **will** only increase. **Uncertainty** over Trump's policies **may** also force the US Federal Reserve to keep rates unchanged in the near term. This will only **strengthen** the dollar. On Monday, **the dollar index** — which measures the value of the **greenback** against euro, yen, pound, Swiss franc, Swedish krona and the Canadian dollar — **rose** to 109.84, up 1.24 per cent, even as on Tuesday, it was **hovering** around 108.5. In January, foreign investors withdrew more than $9 billion from Indian markets. In fact, February 3 was the 23rd **consecutive** day of FII outflows — the longest **stretch** at least in the past **decade**, as per a report by Axis Capital.

Last year, the RBI had **intervened** heavily in currency markets to **stem** the rupee's decline. Between September 27 and December 6, foreign exchange reserves fell by around $50 billion. While part of the decline could be **on account of revaluation** losses, this fall provides some indication of the extent of the central bank's **intervention**. However, in recent weeks, the rupee has been allowed to adjust. With the pressure on the currency unlikely to **abate**, the RBI should allow the rupee to adjust, and intervene only to **smoothen out** excess **volatility**. There are concerns that a sharp **depreciation** of the currency **will** have an impact on inflation — as per some estimates, a 5 per cent depreciation could push up **headline inflation** by 35 **basis points** over some quarters. The central bank will have to be careful as it **navigates** an increasingly uncertain global and domestic environment. **Considering** the **slowdown** in the economic growth momentum, and with the government **delivering on fiscal consolidation** — budgeting to **bring down** its **fiscal deficit** from 4.8 per cent of GDP in 2024-25 to 4.4 per cent in 2025-26 — the RBI must move to **ease** policy rates. **[Practice Exercise]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

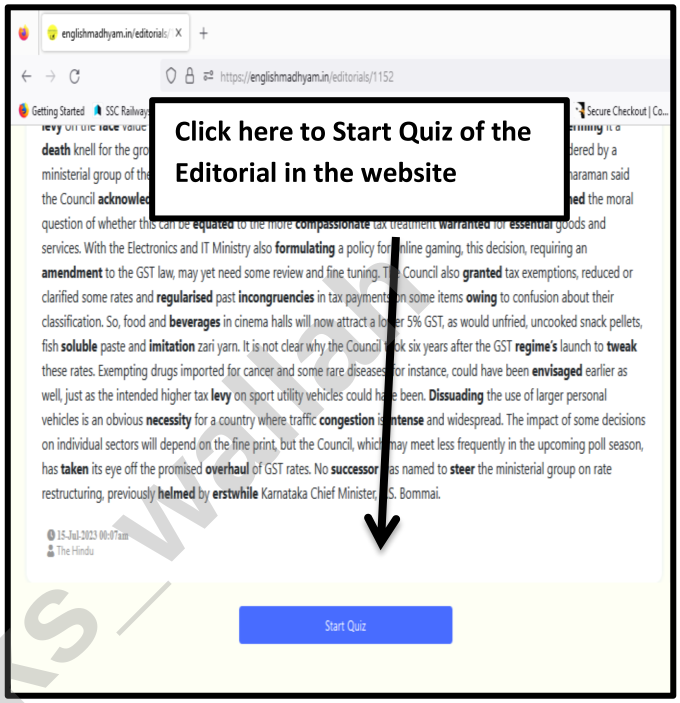
1. **Let** (verb) – Allow, permit, enable, grant, authorize होने देना
2. **Impose** (verb) – Enforce, implement, apply, levy, mandate थोपना
3. **Roil** (verb) – Disturb, disrupt, unsettle, shake up, agitate अशांत करना
4. **Sentiment** (noun) – Emotion, feeling, mood, attitude, perception भावना
5. **Sour** (verb) – Worsen, deteriorate, decline, spoil, embitter खराब होना
6. **Strained** (adjective) – Tense, stressed, pressured, difficult, troubled तनावपूर्ण
7. **Lose ground** (phrase) – Decline, weaken, fall behind, regress, deteriorate अपना प्रभाव खोना
8. **Regain** (verb) – Recover, retrieve, get back, reclaim, restore पुनः प्राप्त करना
9. **Brace** (for) (verb) – Prepare for, get ready, anticipate, gear up तैयार होना
10. **Play out** (phrasal verb) – Unfold, develop, progress, occur, take place घटित होना
11. **Imposition** (noun) – Enforcement, application, implementation, decree, obligation थोपना
12. **Tariff** (noun) – Import duty, tax, levy, customs charge, excise duty शुल्क
13. **Extract** (verb) – Obtain, derive, acquire, draw out, procure प्राप्त करना
14. **Concession** (noun) – Compromise, privilege, reduction, allowance, discount रियायत
15. **Unpredictability** (noun) – Uncertainty, instability, fluctuation, inconsistency, variability अनिश्चितता
16. **Safe haven** (phrase) – Secure place, refuge, shelter, protective environment सुरक्षित स्थान
17. **Strengthen** (verb) – Reinforce, enhance, improve, fortify, bolster मजबूत करना
18. **Greenback** (noun) – US dollar, American currency अमेरिकी डॉलर
19. **Hover** (verb) – Stay around, remain near, fluctuate, linger मंडराना
20. **Consecutive** (adjective) – Successive, sequential, continuous, uninterrupted लगातार
21. **Stretch** (noun) – a continuous period of time.
22. **Decade** (noun) – Period of ten years दशक
23. **Intervene** (verb) – Mediate, interfere, step in, intercede, get involved हस्तक्षेप करना

24. **Stem** (verb) – Stop, control, curb, restrain, check रोकना
25. **On account of** (phrase) – Due to, because of, owing to, as a result of के कारण
26. **Revaluation** (noun) – Reassessment, reappraisal, readjustment, adjustment in value पुनर्मूल्यांकन
27. **Intervention** (noun) – Interference, involvement, mediation, action taken हस्तक्षेप
28. **Abate** (verb) – Reduce, lessen, decrease, subside, diminish कम होना
29. **Smoothen out** (phrasal verb) – Stabilize, make even, regulate, resolve issues संतुलित करना
30. **Volatility** (noun) – Instability, unpredictability, fluctuation, inconsistency अस्थिरता
31. **Depreciation** (noun) – Devaluation, decline in value, reduction, fall in worth मूल्य ह्रास
32. **Headline inflation** (noun) – a measure of the total inflation rate in an economy, including the prices of food, fuel, and other commodities.
33. **Basis point** (noun) – 100 basis point = 1%
34. **Navigate** (verb) – Steer, manage, handle, direct, guide संभालना
35. **Considering** (preposition) – Given that, taking into account, in view of, bearing in mind ध्यान में रखते हुए
36. **Slowdown** (noun) – Decline, slump, downturn, deceleration, reduction मंदी
37. **Deliver** (on) (verb) – Fulfill, achieve, accomplish, complete, execute पूरा करना
38. **Fiscal consolidation** (noun) – a government policy that aims to reduce a country's budget deficit and public debt.
39. **Bring down** (phrasal verb) – Reduce, lower, decrease, cut down कम करना
40. **Fiscal deficit** (noun) – Budget shortfall, excess expenditure over revenue, government deficit राजकोषीय घाटा
41. **Ease** (verb) – Relax, alleviate, reduce, mitigate, make less severe कम करना

Summary of the Editorial

1. **Rupee Under Pressure** – The Indian rupee has been facing increased depreciation, but this is part of a global trend affecting various currencies.
2. **Global Trade War Impact** – US President Donald Trump's new tariffs on Canada, Mexico, and China have caused market disruptions worldwide.
3. **Market Reactions** – Investor sentiment weakened, causing the Sensex to fall by 0.4%, while the rupee hit a record low of **₹87.29** against the dollar before closing at ₹87.19.
4. **Short-Term Recovery** – On the following day, the Sensex rebounded by 1.8%, and the rupee slightly recovered to **₹87.07**, though uncertainty remains.
5. **Trade War Uncertainty** – Trump delayed tariffs on Mexico and Canada after negotiations, but China retaliated with its own tariffs on US imports.
6. **Dollar Strengthening** – The ongoing trade tensions and economic uncertainty have driven investors toward the US dollar as a safe haven, further pressuring other currencies.
7. **Federal Reserve's Stance** – Due to uncertainty in Trump's policies, the US Federal Reserve is likely to keep interest rates unchanged, which could further strengthen the dollar.
8. **Dollar Index Rise** – The dollar index, measuring its strength against major global currencies, rose to **109.84**, up by 1.24%, before stabilizing around **108.5**.
9. **FII Outflows from India** – Foreign Institutional Investors (FIIs) have been withdrawing capital from Indian markets, with over **$9 billion** exiting in January alone.
10. **Record FII Outflows** – February 3 marked the **23rd consecutive day** of FII outflows, the longest streak in at least a decade, per Axis Capital's report.
11. **RBI's Past Intervention** – Last year, the RBI intervened significantly to stabilize the rupee, leading to a **$50 billion** decline in foreign exchange reserves.
12. **Current RBI Approach** – The RBI has recently allowed the rupee to adjust naturally and should only intervene to curb excessive volatility rather than defend a fixed level.
13. **Inflation Concerns** – A sharp rupee depreciation may increase inflation, with estimates suggesting that a **5% depreciation** could raise inflation by **35 basis points** over time.
14. **Fiscal Consolidation** – The government aims to reduce the fiscal deficit from **4.8% of GDP in 2024-25 to 4.4% in 2025-26**, signaling responsible fiscal management.
15. **Need for Policy Rate Cuts** – Given the economic slowdown, the RBI should focus on easing monetary policy to support growth while navigating global financial uncertainties.

Practice Exercise: Banking Pattern Based



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